TOTAL

TOTAL KENYA LIMITED

Our Ref: G10.189.0002

28 March 2013

The Chief Executive
Capital Markets Authority
Embankment Plaza
Upper Hill, Longonot Road
P.O. Box 74800 – 00200
Nairobi

Advance copy by Fax
Original by recorded delivery

Dear Sir,

RE: TOTAL KENYA LIMITED'S RESULTS FOR YEAR ENDED 31ST DECEMBER 2012

Reference is made to the above.

We enclose the Company's Income Statement, the Balance Sheet, Statement of cash flow, Statement of changes in equity and a brief commentary for the year ended 31st December, 2012 to be published in the press for your records.

Yours faithfully,
TOTAL KENYA LIMITED

Maurice K'Anjejo
CORPORATE AFFAIRS MANAGER

cc: The Chief Executive
Nairobi Securities Exchange
Nation Centre, 1 st floor
NAIROBI

Encl.

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COMMENTARY

The company recorded commendable performance in spite of the unfavourable macroeconomic challenges that prevailed in the country in the first half of the year under review.

Sales volumes increased by 15% from 941 KMT in 2011 to 1,085 KMT in 2012. This increase is attributable to sales to other Oil marketing companies after the company won several contracts to supply the industry with refined products under the OTS agreement. In addition, other sales channels, especially Network and Lubricants recorded increased sales, a fact supported by the reclaimed inland market leadership position in 2012 with a market share of 20.5%.

Turnover increased by 16.1% from Kes 92.54 billion in 2011to Kes 107.45 billion in 2012 due to the increase in sales volume coupled with increase in international prices. Cost of sales increased by 15.6%. The gross profit margin expressed as a percentage of turnover increased by 8.2%. The combined effects of higher gross profit margin and higher sales increased gross profit by 25.6 %.

Other income decreased by Kes 378 million as a result of the disposal of fewer assets as compared to previous year. Operating expenses increased by 17% (Kes 690 million) due to the impact of inflation on overheads and a settlement of a legal case that had been brought against the company in a London court which was exceptional and crystallised after year end. Without this exceptional settlement, the operating expenses were reasonably controlled and increased by less than the rate of inflation.

Despite the increase in average borrowing rates (average 91 day t-bill rate for 2012 at 12.7% vs. 8.7% for 2011), finance costs, although remaining high, decreased by Kes 38 million due to reduction of borrowing needs following receipt of Kes 5.2 billion proceeds from preference shares that were issued in June 2012 and proactive treasury management. The company managed to report minimal forex loss, thanks to prudent risk management measures that were implemented.

Due to the impact of the exceptional item and high interest expenses, the company recorded a loss before tax of Kes 64 million compared to a profit before tax of Kes 58 million in 2011. Net loss for the year was Kes 202 million (Kes 71 million in 2011). It is worth noting that arising from the implementation of various action plans, the company realised a positive result of Kes 58 million in the second half despite the exceptional settlement alluded to above.

On the balance sheet, gearing ratio improved from 145% in 2011 to 26% in 2012 mainly resulting from increase of the Company's paid up share capital through issuance of additional preference shares during the year and reduced working capital requirements. This has enabled the company to continue investing substantially at Kes 764 million in the year (up 12% from Kes 684 million in 2011)

OUTLOOK

The macroeconomic environment has remained fairly stable since the second half of 2012 and is expected to remain so in 2013. In the Oil industry, the transition of the refinery from toll to merchant processing mode has been realized, although significant challenges still remain. The company continues to actively participate in and win contracts to supply the Oil industry with refined products under the

TOTAL KENYA LTD		
STATEMENT OF FINANCIAL POSITION		
AS AT 31ST DECEMBER		
	2012	**2011**
	KSh'000	**KSh'000**
ASSETS		
Non Current Assets		
Property, plant ,equipment & operating leases	8,910,623	9,295,581
Goodwill	416,679	416,679
Deferred tax asset	304,843	146,955
Total Non current assets	**9,632,145**	**9,859,215**
Inventories	13,794,942	12,039,014
Trade and other receivables	9,054,343	11,629,825
Bank and cash balances	499,174	1,670,112
Total current assets	**23,348,459**	**25,338,951**
TOTAL ASSETS	**32,980,604**	**35,198,166**
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	9,974,771	4,774,771
Retained earnings	1,967,520	1,967,520
Share premium	2,250,385	2,452,527
Shareholders' equity	**14,192,676**	**9,194,818**
Non Current liabilities	**854,765**	**3,020,584**
Current Liabilities		
Medium term loan	-	702,000
Trade and other payables	13,772,509	10,579,598
Short term bank borrowings	4,160,654	11,701,166
Total current liabilities	**17,933,163**	**22,982,764**
TOTAL EQUITY AND LIABILITIES	**32,980,604**	**35,198,166**

TOTAL KENYA LTD		
STATEMENT OF COMPREHENSIVE INCOME		
FOR THE PERIOD ENDED 31ST DECEMBER		
	2012	**2011**
	KSh'000	**KSh'000**
Gross sales	119,788,989	105,590,360
Indirect taxes and duties	(12,338,455)	(13,055,311)
Net sales	**107,450,534**	**92,535,049**
Cost of sales	(101,577,075)	(87,860,697)
Gross profit	**5,873,459**	**4,674,352**
Other income	302,153	680,041
Operating expenses	(4,652,729)	(3,962,404)
Finance income	48,509	544
Finance costs	(1,554,715)	(1,592,320)
Foreign exchange (Loss)/ Gain	(80,978)	257,637
(Loss)/ Profit before taxation	(64,301)	57,850
Taxation charge	(137,841)	(129,286)
Loss for the year and Total comprehensive income	**(202,142)**	**(71,436)**
Loss per share (basic and diluted)	KES (0.32)	KES (0.24)

TOTAL KENYA LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2012

	Share capital KSh'000'	Share premium KSh'000'	Retained earnings KSh'000'	Total equity KSh'000'
As of 1 January 2011	**4,774,771**	**1,967,520**	**2,837,562**	**9,579,853**
Dividends declared	-	-	(313,599)	(313,599)
Loss for the year	-	-	(71,436)	(71,436)
As of 31 December 2011	**4,774,771**	**1,967,520**	**2,452,527**	**9,194,818**
As of 1 January 2012	**4,774,771**	**1,967,520**	**2,452,527**	**9,194,818**
Issued preference share capital	5,200,000	-	-	5,200,000
Loss for the year	-	-	(202,142)	(202,142)
As of 31 December 2012	**9,974,771**	**1,967,520**	**2,250,385**	**14,192,676**

TOTAL KENYA LTD		
Cash Flow Statement		
As at 31 December		
	2012	2011
	KSh'000'	KSh'000'
CASH FLOW FROM OPERATING ACTIVITIES		
Cash generated from (used in) operations	6,737,806	(1,541,641)
Taxation paid	(36,396)	(464,100)
Net cash from operating activities	**6,701,410**	**(2,005,741)**
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(682,043)	(507,805)
Purchase of prepaid operating leases	(80,874)	(173,636)
Purchase of intangible assets	(1,042)	(2,938)
Proceeds on disposal of property,plant and equipment	14,458	290,009
Net cash used in investing activities	**(749,501)**	**(394,370)**
CASH FLOW FROM FINANCING ACTIVITIES		
Interest paid (net)	(1,506,206)	(1,591,776)
Dividend paid	(129)	(314,465)
Proceeds from issuance of preference shares	5,200,000	
Medium Term Loan repaid	(3,276,000)	(702,000)
Net cash used in financing activities	**417,665**	**(2,608,241)**
Net decrease in cash and cash equivalents	6,369,574	(5,008,352)
CASH AND CASH EQUIVALENTS		
At 1 January	(10,031,054)	(5,022,702)
As at 31 December	**(3,661,480)**	**(10,031,054)**